

WHY BOOKINGS & GDR MOVED

Board & Leadership Collaboration — July 2026 Root-Cause Executive Summary

Bookings — \$1,729K, +4% vs target, -7% YoY · Bookings ≈ Pipeline created × Win rate × ASP

Cut	July bookings (YoY · vs tgt)	Pipeline gen. vs tgt	Win rate (clean)	ASP (clean)	Read
AMS	\$855K (-20% · +5%)	+17%	19.3%	\$20.0K	Pipe healthy — the miss is win-rate and mix in STRAT & MM
EMEA	\$530K (+13% · -2%)	-18%	18.1%	\$21.4K	Beat on expansion; the new-logo funnel is shrinking
APAC	\$330K (+45% · +27%)	-30%	26.7%	\$12.1K	Beat by monetising the installed base, not new pipeline
Total	\$1,729K (-7% · +4%)	-4%	20.4%	\$18.3K	A base-conversion month that beat target

By segment (July YoY): ENT \$696K **+197%** · SMB \$753K **+34%** · STRAT \$107K **-78%** · MM \$172K **-71%**. Land \$790K (+0%) / Expand \$939K (-13%). Win rate on Finance's clean basis (all-sizes 28.6%); ASP clean (all-sizes \$11.4K).^{1, 9}

GDR — 91.7%, -2.3pt vs target · GDR shortfall ≈ at-risk pool × realised churn/downsell rate

Cut	July GDR (vs tgt)	Renewal pool	Realised loss	Top driver
AMS	93.0% (-1.3pt)	\$12.4M	-\$865K	Price-to-Value 37% + M&A 26%; top-10 accounts = 69%
EMEA	90.4% (-2.9pt)	\$6.8M	-\$653K	British Telecom alone = 47%; ex-BT ≈ 94.7% (beats target)
APAC	90.2% (-4.4pt)	\$4.3M	-\$422K	Broad small-book noise — no account moves it 1pt
Total	91.7% (-2.3pt)	\$23.5M	-\$1.94M	Price-to-value is the common thread

By segment (July GDR vs YA): SMB 91.4% **(+0.5pt)** · MM 92.1% (-1.3pt) · ENT 91.9% (-1.4pt). Loss = churn -\$978K (54 accounts) + downsell -\$963K (187 accounts).^{1, 5}

The trend, and why — in one read

July was a genuine **+4% beat on bookings (+17% YTD)** with a small retention miss — a healthy month, not a business in trouble. The through-line for both halves is the **AI story doing double duty**: the Diligent One Platform upgrade of the installed base is our biggest growth lever (33% of bookings, ENT +197%), but the *shipped* AI is only board-book summarisation. So the segments that want the not-yet-shipped flagship — Strategic and Mid-Market — defer, and price-to-value is the top churn driver. One fix — honest AI-roadmap messaging plus interim value proof — helps bookings and GDR at once (flagship GA is **Q1 2027**, not October).^{2, 17}

Reading notes: win rates use Finance's "clean" basis (excludes < \$5K Amendment deals) unless labelled; the CRM competitor field is 0% populated, so competitive counts are lower bounds; YoY % are Finance's (no July-2025 deal file); small books (APAC GDR, Strategic) swing on timing. BLC only · AMS/EMEA/APAC · July 2026, Q2 as context.^{1, 4, 9}

Drivers & Takeaways

Bookings — takeaway

We beat target (+4%, +17% YTD), carried by the D1P/GovernAI upgrade of the installed base and a working SMB motion. The –7% YoY and the forward risk sit in Strategic and Mid-Market, and in a new-logo pipeline below target in EMEA and APAC — the beat rode a base-conversion wave that is already cooling.

Top 3 that helped	Top 3 that hurt
D1P / GovernAI base upgrades — 33% of bookings, +34% ASP uplift; drove ENT +197%.²	Strategic AI-upgrade stall (–78%) — buyers defer to the not-yet-GA flagship. Self-inflicted: we sell the vision as near-term and price interim GovernAI as pre-paying for it, so there is no cost to waiting. ^{10, 17, 21}
SMB product ladder + greenfield (+34%) — Starter/Foundations packages plus referral and new-logo wins into boards with no incumbent.^{1, 9}	Mid-Market fit-gap at price (–71%) — shipped GovernAI summarises the book, not the live discussion boards value; a +\$15–35K uplift fails the test; weak new-logo funnel. ^{9, 21}
Expansion-led regional beats — APAC +27% vs target and EMEA ENT +251%, monetising the base even where new pipe missed.¹	New-logo pipeline below target — EMEA –18%, APAC –30%; the beat rode a shrinking funnel, so Q3 is harder without new-business demand-gen. ^{1, 7}

GDR — takeaway

GDR missed target by 2.3pt, but it is not a broad decline — it is three different regional stories with price-to-value the common thread. Strip the single British Telecom loss and EMEA clears target; APAC is small-book timing noise; only AMER is a genuine, concentrated loss-rate problem.

Top 3 that helped	Top 3 that hurt
SMB retention above target — +0.5pt vs YA in July, +2.4pt YTD; the healthiest cell in the book.¹	Price-to-value — the #1 driver (30% coded, 45% once BT is re-coded); shipped AI does not yet lift value perception. ^{14, 19}
Churn-mitigation saves — Phase 1 renewed 100% of addressable enterprise accounts (5 of 16 to multi-year); Q2 M&A save \$485K of \$518K.¹⁹	British Telecom (–\$305K) — one competitive/price RFP = 47% of EMEA's miss; competitor ~½ our price; our 12-month-only terms a joint cause. ¹⁴
Underlying book is stable — ex the one BT loss, EMEA GDR ≈ 94.7% (above the 93.3% target); APAC YTD flat at 92.9%.¹⁴	M&A consolidation — ~\$145K in July plus ~\$1.8M Q3–Q4 forward risk; acquired customers move to the acquirer's platform. ^{13, 19}

Before presenting — five deck figures need correcting or re-labelling (detailed in §6): "D1P 320 / \$4.98M / 31.7%" is YTD, not July (July = 38 / \$576K / 33.3%); "First Bank \$156K" is a forward-risk 2027 renewal, not July churn; "Sherpany" appears in zero July Boards churn rows; BT is coded "Legal Issue" but is a price/competitive RFP; "3 UKI accounts churned to XYZ" is an unfilled Q2 placeholder.^{2, 13, 18, 14, 8}

Part I — Bookings: –7% YoY on a beat-to-target month

July BLC bookings were **\$1,729K — +4% vs target but –7% YoY**; YTD \$15,692K, +17% YoY.¹ The decomposition below shows the –7% is not one failure. It is a **tale of two AI motions and a new-logo shortfall**: the D1P/GovernAI upgrade of the installed base powered Enterprise (+197%) and lifted SMB (+34%), while the two segments most exposed to *new* demand or a not-yet-shipped flagship — Strategic (–78%) and Mid-Market (–71%) — fell sharply.^{1,9}

+197% ENT bookings YoY \$696K — the D1P engine ¹	–78% STRAT bookings YoY \$107K — an AI-upgrade conversion stall ⁹	–71% MM bookings YoY \$172K — upsell fit-gap + weak new-logo funnel ^{4,9}	+34% SMB bookings YoY \$753K — the product ladder works ¹
---	--	--	--

Segment decomposition — pipeline vs win rate vs ASP

Segment	July bookings (YoY)	Which lever moved	Root cause
Enterprise	\$696K (+197%)	Win rate × ASP on a growing Expand pipe	D1P/GovernAI upgrades of the installed base; internal GC/CorpSec champion; gate is a passable security review, not a missing feature ^{2,10}
Strategic	\$107K (–78%)	AI-upgrade conversion stall on a tiny all-upsell book	All 46 in-scope opps are Upsell, zero New (46 rows / 43 accounts); AMS "\$2K" is two sub-\$5K amendments while its one real deal (Disney \$102K) stayed <i>open</i> . Every material opp is a GovernAI upgrade that deferred to the not-yet-GA flagship. The –78% is deck-sourced — no July-2025 baseline exists to prove a definitional cause ⁹
Mid-Market	\$172K (–71%)	Two failures under one number	AMER MM: 68% of losses are installed-base Upsells stalling on a GovernAI product-market-fit-at-price gap, plus a weak new-logo funnel (2.2% clean win rate, 1 real win vs 44 losses); EMEA MM: genuine price-to-value loss to Board Intelligence ^{4,9,11}
SMB	\$753K (+34%)	Win volume on a low but functioning motion	Governance-greenfield new logos + a product ladder (Starter/Foundations) that reaches SMB and the D1P wave that lifted it; rode a <i>shrinking</i> funnel, so not durable ^{1,9}

The leading indicator is the real story: pipeline generation

July pipeline generation was **\$10,355K, –4% vs target**, but the regional split is stark and it is a **new-business (Land) problem**: AMS +17% vs target, but **EMEA –18%** (Land pipe –37%) and **APAC –30%** (the deepest target-miss of the three regions).¹ By segment, STRAT pipe –30% and MM pipe –31%.¹ In other words, the bookings that beat target in July came out of a funnel that is no longer being replenished for new logos — which is exactly why the BU's own Q3 forecast is –13% vs target.⁷

Pipeline-generation YoY is Finance-workbook only — the Top Open sheet is broken and the win-rate series stops at June — so it is cited as stated and not independently re-derived.¹

1. The D1P Upgrade Engine — the single biggest driver, and it is cooling

A "D1P upgrade" moves an existing Boards customer onto a 2026 Diligent One Platform package: all *shipped* GovernAI features (Smart Summary, Minutes, Prep, Risk Scanner), unlimited users/admins/committees, platform consolidation across D1P solutions, and a re-SKU that targets the same commercial value through Deal Desk.¹⁶ It is always an Upsell/Cross-Sell — never a new logo. It is the mechanical core of the Enterprise surge: July Enterprise D1P conversions were \$283K, +183% YoY, roughly 40% of ENT July bookings.²

Correction that changes the slide. "D1P upgrades: 320 deals, \$4.98M ARR = 31.7% of BLC bookings" is the **YTD-July** roll-up (31.7% = $\$4,981K \div \$15,692K$ YTD). **July alone was 38 deals, \$575,704, and 33.3% of July bookings.** A July slide must state the basis in the same breath, or it overstates the month by roughly 8x.²

D1P upgrade metric	July 2026	July YoY	YTD-July	YTD YoY
Upgrade ARR — total	\$575,704	+10.7%	\$4,981,049	+93.0%
— Enterprise	\$283,489	+182.6%	\$1,260,099	+148.6%
— Strategic	\$61,069	–56.3%	\$1,736,091	+250.0%
— Mid-Market	\$64,261	–54.0%	\$737,817	+55.5%
— SMB	\$166,885	+19.0%	\$1,247,043	+13.1%
Deals · avg ARR/deal	38 · \$15,150	–3.9%	320 · \$15,566	+30.9%

Source: BLC July MOR D1P Upgrade Drivers block, rows 111–128.^{1, 2}

Why it works, and why it is a maturing wave — not an open-ended trajectory

- **ASP uplift is real: +34%.** A D1P upsell (clean) is \$17,397 vs a non-D1P upsell \$12,956 — a like-for-like +34.3% uplift; Finance's own YoY framing is \$11,890 → \$15,566 (+31%).²
- **The acceleration was Q2, not July.** "+248% (Q1) → +339% (Q2) on GovernAI's first anniversary" is a Q2 figure — the renewal-cycle conversion of customers who took GovernAI a year earlier, plus the Feb-2026 unlimited-user packaging with a deliberate list-price uplift.^{2, 7}
- **July momentum cooled sharply.** +11% YoY in July vs +93% YTD, with Strategic –56% and Mid-Market –54% *in the month*. The rich Strategic/Enterprise conversions front-loaded earlier in the year (Strategic YTD +250%, AMS alone \$96K→\$1,199K). Each account converts once; the convertible base shrinks.²
- **The original hook is impaired.** The upgrade was sold toward a "free AI Boards upgrade in October"; AI Boards GA slipped to **Q1 2027**, and customers increasingly call the delivered GovernAI "table stakes". The second wave depends on unshipped product (AI Boards GA, Next Gen/AWS) — a plan, not a booking.^{2, 17}

2. Strategic (–78%) and Mid-Market (–71%): different failures

Strategic: a real AI-upgrade conversion stall, not a proven definitional artefact

"Strategic" is a CS account-coverage tag — it lands on exactly 46 in-scope July opportunities and is null on the other 573; **all 46 are Upsell/Cross-Sell, zero New**, so "STRAT has no Land" is true by construction.⁹ The whole segment produces about 10 wins a month globally across 43 accounts, so the headline swings on timing:

- **AMS STRAT "\$2K, –99%" is two sub-\$5K contract amendments** (TriSummit \$1,037 + BCBS Wyoming \$892 = \$1,929) — while AMS Strategic's one real deal, **Disney Worldwide Services at \$102,000, was still open at month-end**. Had it closed, AMS STRAT would read ~\$104K.^{9, 10}
- **EMEA STRAT (\$92K) is real but concentrated** — five referral wins, of which Argenta Holdings (\$51K, itself a D1P conversion) is 55%.^{9, 11}
- **Every material AMS Strategic loss is a GovernAI upgrade that deferred** — for not-yet-GA features or the ~\$25–35K price (see the AMER section) — not a lost bake-off (only 2 of 26 losses touch a competitor, both under \$5K).¹⁰

The deep root cause is a **self-inflicted GTM/roadmap-timing mismatch**: reps sell the AI vision (AI Board Member, Smart Search) as near-term and price the ~\$25–35K interim GovernAI upgrade as pre-paying for that roadmap — but shipped GovernAI is admin summarisation the cosecs already do by hand, so there is **no cost to waiting** and the AI-hungry Strategic buyer rationally defers to the flagship (actual GA **Q1 2027**).^{10, 17} One honest limit, from the adversarial review: we cannot prove a definitional artefact *caused* the –78% YoY — there is no July-2025 baseline, no documented Strategic-assignment rule and no reclassification bridge, and buyers waiting for a differently-priced future product may be genuine effective-demand losses at today's offer, not preserved pipeline.⁹ Note the entanglement with Enterprise: folding Strategic into Enterprise moves 24 deals / \$272K, so part of ENT's +197% is reclassification.⁹

Mid-Market: AMER is two failures under one number; EMEA is genuinely price-to-value

The deck frames MM as a "price-to-value / pricing & packaging" problem. The named-deal and Gong-transcript evidence says that is **right for EMEA MM, and only half-right for AMER MM** — AMER MM is two distinct failures wearing one bad number:

Region	What the losses actually are
AMER MM (–91%)	47 losses, only 1 competitive (mistagged) — so not a bake-off. The Upsell majority (32 of 47, 68%) is a product-market-fit-at-price gap: shipped GovernAI is admin-only board-book summarisation + minutes-from-materials, and at a mid-market board that value collapses — the board values the live Q&A discussion the tool doesn't capture, admins already do minutes fast or via Copilot, and the interactive "AI board member" that would move them is not GA — so the +\$15–35K uplift fails the value test ("ROI / no budget" is downstream of this). Plus a trust-erosion strand (CubeSmart froze expansion after its system crashed mid board-meeting). The new-logo minority (15 losses) is a qualification / ICP-entry failure: outbound reaches a board-admin coordinator, not the economic buyer, against a good-enough status quo with no compelling event (2.2% clean win rate; the two dedicated MM territories went 0W/41L; the one genuine AMER MM win, Lyntris, landed in the SMB territory). ^{4, 9, 10, 21}
EMEA MM (–13%)	Genuine competitive price-to-value: IG Markets (\$115K, lost to Briefed + Board Intelligence on "commercial viability without a discount"), Ibstock ("BI undercut us"), BDO (\$50K, lost on AI-minutes output quality). This is where the deck's pricing thesis holds. ¹¹

Why SMB grew while MM collapsed under the same pressure

Four structural reasons: (1) the package ladder — Starter/Foundations are ~100% SMB; MM new logos get only Essential/Pro, so SMB has an on-ramp and MM has a cliff; (2) the D1P wave lifted SMB (17 deals) and Enterprise (14) but bypassed MM (4); (3) SMB's motion is majority new-logo referral that works, while MM's engine is Expand, which fell from 28.7% to 2.4% clean; (4) coverage — AMS MM teams went 0W/41L and EMEA has no MM territory at all.⁹ SMB has not "solved" price-to-value; it has a product ladder and a channel that fits its buyer. MM has neither.

3. AMER Bookings — \$855K, –20% YoY

\$855K AMS bookings –20% YoY, +5% vs target ¹	+10% AMS pipeline gen. +17% vs target — pipe is healthy ¹	2.2% AMS MM win rate (clean) 1 real win vs 44 losses ^{4, 9}	13 AMS D1P upgrades the ENT +227% engine ²
---	---	---	--

Aggregate AMS pipeline was *up* (+10% YoY, +17% vs target), so the –20% miss is not a volume problem — it is **conversion and mix in the two AI-upgrade-dependent segments**, masked by the Enterprise and SMB engines.^{4, 9}

The two AI motions split by segment — same trigger, opposite outcome

Enterprise (+227%) worked because the buyer already owned Boards, the champion was internal (GC/CorpSec), and the gate was a passable security review: Flowers Foods (\$48K GovernAI upgrade after directors asked for AI), Jones Financial (\$47.5K, gated by outside counsel), United Rentals and VICI (BoardVantage takeaways won on direct-director AI access).¹⁰ **Strategic (–99%) stalled on a self-inflicted GTM/roadmap-timing mismatch:** reps sell the AI vision — AI Board Member, Smart Search — as near-term and price the ~\$25–35K interim GovernAI upgrade as pre-paying for that roadmap, but shipped GovernAI is only admin summarisation the cosecs already do by hand, so there is **no cost to waiting** and the AI-hungry buyer rationally defers to the flagship (actual GA **Q1 2027**).^{10, 17} The Gong transcripts prove the mechanism:

"Any roadmap items from an AI perspective ... will be available to you if you do upgrade, so you won't have to pay additional money in the future ... that's where a lot of organizations are really trying to get in while the iron's hot." ... "Diligent has plans later this year to release a feature that's essentially an AI director."

— Diligent reps to Canadian National Railway, \$18.2K Strategic loss, GovernAI demo [gong 5241225742212609819]²¹

"If I move to DiligentOne today, what's that cost increase? And what am I actually getting? Because it sounds like I'm not getting anything new yet ... we are going to pre-buy into DiligentOne without being able to see the smart search capability."

— Miko Owa, FTI Consulting, \$13.1K Strategic loss [gong 4811842356495327778]²¹

"We do have on our roadmap ... an AI board member ... set to release ... September October. If you go the AI route now you get access at a lower cost ... as more features come out, it will get more expensive."

— Diligent AM to UT MD Anderson, \$25K Strategic postponement [gong 8301997879086060160]²¹

These are timing / roadmap-positioning losses tied to AI Boards GA being Q1 2027 — not competitive defeats (only 2 of 26 losses touch a competitor, both under \$5K; Danaher is a mistagged BoardVantage price loss, orthogonal to the AI stall).^{10, 21}

Mid-Market is two failures under one number — and neither is competition

AMER MM booked \$37K (–91%) across 47 losses; only 1 was competitive (mistagged), so it is not a bake-off.^{4, 10} **The Upsell majority (32 of 47, 68%)** is a product-market-fit-at-price gap: shipped GovernAI is admin-only board-book summarisation and minutes-from-materials, and at a mid-market board that value collapses — the board values the live Q&A discussion the tool doesn't capture, admins already do minutes fast or via Copilot, and the interactive "AI board member" that would move them is not GA — so the +\$15–35K uplift (often doubling a ~\$20–25K base) fails the value test. "ROI / no budget" is downstream of this; a distinct trust-erosion strand exists too (CubeSmart froze expansion after its system crashed mid board-meeting).²¹ **The new-logo minority (15 losses)** is a qualification / ICP-entry failure: outbound reaches a board-admin coordinator, not the economic buyer, against a good-enough status quo with no compelling event — so even well-fit deals drift and die (2.2% clean win rate; the two dedicated MM territories went 0W/41L; the one genuine AMER MM win, Lyntris \$30K, landed in the SMB territory).^{9, 21}

"I use copilot now which saves a ton of time ... I've got an agent in copilot for the minutes that has all of our prior minutes ... I'm not really seeing how that saves much time beyond our current process."

— Andy, VP Legal, Major Drilling, MM Upsell loss [gong 1222637216212026575]²¹

"The important part about the minutes are the questions and answers ... going back and forth live. But this is just based on the materials ... it doesn't take into account anything that was said at the meeting."

— Jim, Maine Employers' (MEMIC), \$15K MM Upsell loss [gong 3590847483910164781]²¹

"Why should I pay for something when I get the email and that's it?"

— Juan, National DCP, \$25K MM new-logo loss (a co-chair, not the admin who owns the account) [gong 7997027075618080299]²¹

SMB (+31%), by contrast, is governance-greenfield: pre-IPO and newly independent boards with no incumbent (Type One

4. EMEA (\$530K, +13% YoY) & APAC (\$330K, +45% YoY)

EMEA — a bookings beat on a softening new-logo funnel

EMEA bookings were +13% YoY but -2% vs target, and the segment moves reconcile to the CSV exactly (ENT \$159K +251%, STRAT \$92K -62%, MM \$73K -13%, SMB \$206K +102%).^{4, 1} ENT +251% is genuine and pipe-backed — the one EMEA segment whose pipe grew (+58%, Expand +136% on D1P), topped by the one new logo, ICG FMC (\$60K, an Admincontrol displacement).¹¹ But the leading indicator is softening: **EMEA pipeline generation is -16% YoY / -18% vs target, a new-business shortfall (Land pipe -37%) while Expand grew +18%.**¹ Three named causes: UKI marketing budget holds cut planned events; EMEA has the weakest funnel conversion of any region (HMQL-to-Opp 21% vs AMS 29%); and field capacity gaps (UKI not at full strength through July).^{7, 11} SMB +102% is real (only 4% is amendments) but rode a -25% pipe — a conversion beat, not a sustainable level.

"EMEA remains the weakest region overall, with HMQL-to-Opp at 21% ... suggesting a broader process, lead quality, or follow-up issue."

— July 2026 MOR, EMEA funnel slide⁷

APAC — a genuine expansion-led beat, on a thin forward funnel

APAC beat target by +27%, and the beat is **genuine expansion ARR, not an amendment mirage**: 72% of the \$330K is Upsell/Cross-Sell and 56% is D1P upgrades (APAC ran 16 of the company's 37 July D1P deals).^{1, 2} Genuine new logos were only \$92K, all SMB, all ANZ/Korea. One honest limit, from the adversarial review: this is a *level* decomposition, not a bridge — with no prior-year mix it does not prove expansion *caused* the +45% beat, and SMB (62% of bookings) held its pipeline flat, which weakens a "collapsing funnel" reading.⁹ What is clear is that **new-pipeline generation missed target by -30% — the deepest of the three regions** — concentrated where future large deals come from (Enterprise pipe -41%, MM -30%, Strategic -37% YoY).¹

The amendment caveat, quantified two ways. 57.4% of APAC's wins by *count* are sub-\$5K amendments (which is why the *win rate* falls from **42.86% (54 / 72 raw)** to **26.74% clean** — a 16-point / 37.6% reduction; note the deal *count* falls 57.4%, not the rate) — but by *ARR* those amendments are only 15.5% of bookings. So the amendments distort the win rate, **not** the bookings beat, which is real D1P expansion ARR. The beat was driven by high-win-rate referral/upsell volume (referral 67.9%), not by ASP — APAC's ASP is the lowest of the three regions.⁹

"This would move us to unlimited ... a 60K uplift from what we currently are to this DiligentOne."

— Rebecca Brockman, Swinburne University; APAC's largest July expansion (\$38K), coded merely "Price/Value"¹²

The Q3 watch-item is durability, not a cliff: each account converts to D1P once, so the beat rests on a thinner forward funnel, and the top-of-funnel that would rebuild new-logo pipeline is thin (APAC MQLs -64% YoY, ~\$250K activations frozen, 22% rep attrition — all from one MOR source, so treat them as one signal, not three).^{1, 7} The remaining convertible D1P stock is unknown, so this is a forward funnel to watch, not a proven depletion.

Part II — GDR: 91.7%, –2.3pt vs target — three different stories

July churn + downsell across the three regions was **–\$1,940,696 across 241 rows** on a \$23.5M renewal pool.⁵ The –2.3pt miss is not a single phenomenon: **EMEA is one account, APAC is broad-based noise, AMER is a genuine concentrated loss-rate problem.** You cannot fix all three the same way.

Region	July GDR (vs target)	Shape of the miss
AMS	93.0% (–1.3pt)	Loss-rate problem on the biggest book (53% of pool); lost \$161K over allowance; top-10 accounts = 69% of loss ¹³
EMEA	90.4% (–2.9pt)	One big account, plus a price tail: British Telecom (–\$305K) is 46.7% of the region's loss; the true ex-BT cohort GDR is 94.66% (clears the 93.30% target), but the rest is not pristine ¹⁴
APAC	90.2% (–4.4pt)	Broad-based noise: largest single loss is 0.72pt; takes 33 accounts to explain the miss; \$43K moves the rate a point ^{5, 15}

The three churn drivers, quantified

Driver 1 — Price-to-Value (the #1 driver). As coded, Pricing/Value is 29.7% of July loss ARR; once BT's "Legal Issue" miscode is corrected, it rises to **45.4%**, and total addressable churn (price / product / adoption) is 51.2% of the \$1.94M.^{14, 19} The mechanism is *value perception* — "paying for capability we don't use" (IOSH used Boards "only as a repository"; Siam City "did not utilize many of the features") — not per-user price (already unlimited) or absolute price, with competitor-undercutting as the tail (BT at ~⅓ of our cost).^{14, 18, 19} It is proportionally twice as heavy in SMB/MM (33–35%) as Enterprise (8%).

Driver 2 — M&A. Genuine mechanism (acquired customer consolidates onto the acquirer's platform: WK Kellogg, MEG Energy, dentalcorp) — but the July dollar exposure is **small: \$93K coded / \$145K named**, and ~\$90K of that is intra-Diligent migration that does not actually leave.^{13, 19} The deck's "First Bank \$156K" is a forward-risk 2027 renewal, not a July churn (\$6); the \$1.8M is Q3–Q4 forward risk. The Q2 save proof (\$485K of \$518K = 93.6%, incl. Elon vs OnBoard) is real; the go-forward play is being "reevaluated" — partly aspirational.^{13, 19}

Driver 3 — Competitive (name corrected). "Diltrust" is **DiliTrust**, a distinct French/EU LegalTech-origin competitor — *not* Diligent Entities; paired with Sherpany. Their takeaway segments are Sherpany = DACH, DiliTrust = France/Belgium.¹⁸ But the EMEA-SMB/MM competitive-churn claim is narrative-led: **no July Boards churn to DiliTrust exists** (its only July appearance is an Entities win), and the one hard July competitive Boards churn to a named competitor is Sunrise → Sherpany — and that was UX/director-preference-driven, "not related to product cost or features."^{18, 20} Competitors win on price + director-facing UX + AI + local presence, in roughly that order.

5. GDR by region — why each number is what it is

AMER — 93.0%: a real, concentrated loss-rate problem

AMER holds 52.6% of the renewal book (\$12.38M / 377 accounts) and lost \$865K — \$161K (23%) over its allowance. It is not broad decay: the top 10 accounts are 69% of the loss and RWJBH alone (–\$163K) is 18.9%.¹³ Driver mix matches the deck's pair exactly — **Price-to-Value 36.5%, M&A 25.9%**.¹³ RWJBH walked to "an alternative supplier" off a green health score of 88 (a health-scoring failure); Texas A&M left for a competitor "40–75% cheaper"; WK Kellogg, MEG, Step Energy are genuine M&A.¹³

"RWJBH has already engaged with an alternative supplier ... an unexpected non-renewal notice was received on June 4 despite a strong health score of 88."

— RWJBH Corporate Services, –\$163K, the largest AMER loss¹³

EMEA — 90.4%: one big price-driven loss, plus a small price tail

British Telecom (–\$305K) is 46.7% of EMEA loss on a single account; remove it and the true "rest of EMEA" cohort GDR (BT out of numerator *and* denominator) is **94.66%**, which clears the 93.30% target.¹⁴ (The 94.89% figure sometimes quoted is only the "if BT had fully renewed" counterfactual, not the ex-BT cohort — do not present 95.9%.) BT is coded "Legal Issue," but three Gong transcripts prove a **price-driven competitive RFP**: the competitor was quoted at "about a third of what we are paying today" for "functionality very similar ... for quite a lot less money," and BT needed a one-month extension we could not give on 12-month-only terms.¹⁴ Critically, **the deck's proposed cure — Unlimited Users — was already offered to BT and did not close the gap**. One honest limit: "the rest of EMEA is healthy" is not established — the other 53.3% of loss includes a coherent ~\$149K UK SMB price-to-value cluster (the same disease as BT) plus ~\$113K across two large unexplained losses (RBC, UBS) — so ex-BT clears target but is not pristine. EMEA July M&A churn is \$0, and there is no nameable competitive takeaway in the actual July book (BT's competitor is unnamed).¹⁴

"The ultimate functionality is very similar to the other provider we're looking at for quite a lot less money."

— Kathryn Zielinski, British Telecom¹⁴

APAC — 90.2%: broad-based noise on a small book

APAC's –4.4pt miss is the mirror image of EMEA: **no whale**. The largest single loss (NSW Health Pathology, –\$31K) is 0.72 GDR points; it takes 33 accounts to reach 99% of the loss, and \$43K moves the rate a full point.^{5, 15} The losses are scattered across ~30 unrelated AU/NZ government, education and mid-market accounts with mixed reasons (price, seat cuts, one whole-of-government RFP exit, one non-adoption death, one \$25K paperwork artefact that arguably isn't real churn) — no common competitor, no product cliff, no July pricing change. With ~75 loss rows and YTD sitting flat at 92.9%, **July should be read as volatility, not a regression**. The task's "Q2 96.1%" figure is not sourceable — the defensible Q2 APAC GDR is 94.65%.¹⁵

6. What to correct or re-label before presenting

These are not quibbles — each one changes what a reader concludes, and every one is sourced.

On the deck	The correction	Source
"D1P conversions drove 320 upgrade deals and \$4.98M ARR, 31.7% of BLC Bookings" on the July bookings slide	That is YTD-July, not July. July alone = 38 deals / \$576K / 33.3% of July bookings. Label the basis or the month is overstated ~8x.	2
"M&A: e.g., First Bank (\$156K ARR)" as a churn-driver example	First Bank did not churn in July. It is FirstBank Holding Co, a 2027–28-term renewal at "Potential Churn (10%)" — a forward at-risk account inside the ~\$1.8M Q3–Q4 risk book. Present it as forward risk.	13
"Competitive: Sherpany & Diltrust in EMEA SMB/MM"	"Diltrust" = DiliTrust (a distinct competitor, not Diligent Entities). Sherpany appears in zero July Boards churn rows (it is a DACH threat; its one evidenced churn is Swiss/Sunrise, UX-driven). The real July competitive threats in the evidence are Board Intelligence and Convene.	18
British Telecom coded "Legal Issue"	It is a price-driven competitive RFP (Gong-verified). Finance's own MOR calls it "RFP" and "Price-to-Value" — the RFL code contradicts the deck. BT ARR appears as three figures (\$305K / \$321K / ~\$400K); show all, never average.	14
"UKI ... 3 accounts churned to competitor"	An unfilled Q2 placeholder — the source literally reads "XYZ" and "[need source]," sits under a Q2 GDR block, and the accounts/competitor were never entered. The evidenced UKI competitive churns (BDO, lbstock → Board Intelligence) are forward-month (Sept/Dec), not July.	8, 14
Churn-mitigation pilot: "SMB/MM 5 of 16 converted to Multi-Year"	That is an Enterprise result, not SMB/MM — Phase 1 (complete): 18 targeted, 16 addressable, all renewed, 5 to 3-yr MYD (31.2%). Phase 2 (47 accts), the "17 of 35" cohort, Expert Edge, and "churn reduced 20%" are pending / in-progress / unsubstantiated.	19
Stray line: "27% July churn to M&A (Actis \$43k, Nuveen \$40k), Vistra \$82k, SMB 76.4%"	Not BLC Boards — none of those accounts is in the Boards RFL, and SMB 76.4% contradicts BLC SMB (91.4%). It belongs to a different business unit's section.	13
AI roadmap timing implied for October 2026	Diligent AI Boards GA is Q1 2027 (updated 21 Jul 2026, superseding Q4 2026 / October). Distinguish shipped GovernAI from the planned AI Boards flagship in every reference.	17

Sources

The system of record is the Finance workbook; narrative colour is deal-level Gong / Salesforce / Gainsight / Cancel-Details, pulled via Glean. Full per-claim citations and search logs live in the nine findings files under `output/rca/`.

1. **Finance workbook — 20260803-BLC-July-2026-Results.xlsx, BLC July MOR sheet** — July & YTD bookings, pipeline generation, GDR, and the D1P Upgrade Drivers block (rows 111–128), all by region and segment. The system of record.
2. Same workbook — **BLC D1P Upgrades sheet** (810 conversion rows, 2025-01 → 2026-08): D1P deal counts, ARR, monthly ramp, per-region and per-segment splits.
3. Same workbook — **Target — GDR 2026 sheet**: regional GDR targets and loss allowances (AMS 94.27%, EMEA 93.30%, APAC 94.57%).
4. **csp-blc-july2026.csv** — 638-row deal-level July new-business extract (segment, ARR, opp type, stage, source, competitor field). Reconciles to sheet 1 to the dollar.
5. **rfl-blc-july2026.csv** — 1,054-row July renewal / churn / downsell extract (churn reason, ARR, segment, sub-region). The GDR spine.
6. **csp-blc-q2-2026.csv** — 1,864-row Q2 extract, used for labelled Q2 context only.
7. **July 2026 Monthly Operating Review (MOR) — Live Development deck** (o365 SharePoint / DiligentFinance) — bookings/pipeline/GDR slides, churn-driver slide, churn-mitigation programme slide, EMEA/APAC funnel and capacity slides, segment (Q2) slide.
8. July 2026 MOR_YK deck (o365 OneDrive) — exec-summary framing; the "XYZ" / "[need source]" UKI placeholder; "churn reduced 20%"; "58% price-driven" line.
9. **f1-finance-data.md** — the audited finance spine: two-basis (clean vs all-sizes) win-rate/ASP by region × segment, the <\$5K Amendment asymmetry, D1P reconciliation.
10. **AMER new-business named-deal records** (Salesforce / Gong): Allianz Life, Canadian National Railway, FTI Consulting, MD Anderson, Wells Fargo (STRAT losses); Flowers Foods, Jones Financial, United Rentals, VICI, Emera, Point32Health (ENT wins); Central States, National DCP, StockX, Central Insurance (MM losses); Type One Energy, Csquare, Relm (SMB wins).
11. **EMEA new-business named-deal records**: ICG FMC, Persimmon, Galliford Try, Argenta Holdings, ERGO, Al Wathba, EXOR, Briggs Equipment (wins); IG Markets, Ibstock, BDO, Miahona, Hannover Rück, Société Générale (losses).
12. **APAC new-business named-deal records**: Swinburne, Fortescue, Dulux, Dyno Nobel (D1P upgrades); Auriga, NIOA, Toubani, Douzone Bizon (new logos); Dah Sing, Racing Victoria (mis-coded "competitor" losses).
13. **AMER GDR records**: RWJBH, Kentucky Public Pensions, WK Kellogg, MEG Energy, Step Energy, Sun America, Texas A&M, dentalcorp, U.S. Tobacco Cooperative; FirstBank Holding Co renewal (opp 006Pa00000ct79RIAQ) — the forward-risk "First Bank."
14. **EMEA GDR records**: British Telecom (3 Gong transcripts + MOR lines), CCLA, RBC London, UBS Pension Trustee, IOSH; forward-book BDO & Ibstock → Board Intelligence; Sunrise → Sherpany.
15. **APAC GDR records**: Siam City Cement, NSW Health Pathology, Ministry of Social Development, ASE Technology, Mobileum, Sealord, Ngai Tahu, Justice Health.
16. **FAQ-BLC-2026-Packaging-FINAL.docx** — D1P upgrade mechanics: shipped GovernAI features, unlimited users, platform consolidation, Deal-Desk re-SKU-to-same-value, Next Gen/AWS successor motion.
17. **AI-Boards-Internal-FAQs-Master.docx** (updated 2026-07-21) — Diligent AI Boards GA = Q1 2027 (superseding Q4 2026 / October).
18. **DiliTrust-Competitive-Messaging.docx + Confluence-6sense-Competitor-Segments.md** — DiliTrust as a distinct LegalTech-origin competitor (EMEA FR/BE segment); Sherpany as the DACH segment.
19. Churn-mitigation programme slide (MOR Live Development): Phase 1 (complete, Enterprise, 5/16 → 3-yr MYD, 100% addressable save), Phase 2 (47 accts, pending), M&A Q2 proof (\$485K/\$518K), Expert Edge status.
20. Cancel Details email series (via r1): Sunrise → Sherpany (Oct), Direct Digital → Boardvantage (Feb 2027), forward-book competitive churns; M&A no longer labelled "Unavoidable" from July 2026.
21. **AMER Mid-Market & Strategic Gong call transcripts** — Major Drilling (gong 1222637216212026575), MEMIC (3590847483910164781), National DCP (7997027075618080299), Canadian National Railway (5241225742212609819), FTI Consulting (4811842356495327778), MD Anderson (8301997879086060160) and Danaher (4552338749986931925) — full speaker-attributed transcripts pulled via gong-connect / Glean. The bedrock evidence for the AMER MM product-market-fit-at-price gap and the AMER STRAT GTM/roadmap-timing mismatch.

Prepared August 2026 from nine parallel root-cause findings files (`output/rca/rca-*.md`), each carrying its own coverage assessment, named-deal table, verbatim quotes, numbers table, gaps and search log. Where a figure could not be sourced it is marked **[need sources]** in the underlying file rather than estimated.